

The Shady Deals

Ghosh is alleged to have made money through two suspicious deals: Israeli Military Industries that had bagged a Rs 1,200-crore deal to make 155 mm howitzer shell propellant at Nalanda and a joint venture of over Rs 700 crore for making Singapore Technologies carbines at OFB.



THE BOFORS HOWITZER (LEFT); THE SAR-21 RIFLE

Singapore Technologies, R.K. Machine Tools, P.T. Poland, T.S. Kishan and Co., Israeli Military Industries, H.Y.T. Engineering, Media Architects Pvt Ltd.

Army's artillery acquisition further delayed. Setback to acquiring ultra-light howitzers from Singapore Technologies. Will have to continue importing propellant for 155 mm guns. Has to create new suppliers for T-72 and T-90 tank spares, including tracks and valves.

factory representative.

Among those arrested by the CBI was Pradeep Rana, an adviser to the Israeli firm and believed to be a close associate of London-based arms agent Sudhir Choudhrie. Another person arrested was Ramesh Nambiar, an additional general manager in Air India. Nambiar was also the chairman of the tourism and travel committee for the Commonwealth Games 2010 and evidently a networker in Delhi's influential Malayalee circuit with alleged access to the Prime Minister's Office. According to the CBI, Nambiar

acted as a conduit for Ghosh to funnel graft money from suppliers and also helped him launder the money. Ghosh operated through two other agents who arranged meetings in Delhi hotels with foreign suppliers.

The CBI found details of a Singapore account with a deposit of Rs 4.76 crore, which Nambiar helped Ghosh open. The agency is still investigating a larger network of middlemen who supplied Ghosh with kickbacks from factories. Evidence is emerging that Ghosh received kickbacks for two defence deals—a Rs 1,200-crore collaboration with IMI, approved by the Cabinet Committee on Security in January, to manufacture propellant charges at the ordnance factory board's Nalanda plant and a tender to supply paramilitary forces with 48,000 carbines.

In July last year, the OFB began a collaboration with Singapore Technologies Kinetics for indigenously producing their SAR-21 bullpup carbines to replace the OFB-produced (now obsolete) 9 mm Sterling carbines. OFB officials say they are unsure how this joint venture took off but on February 26, the OFB board vetoed the project because "due diligence like costing and tendering had not been done". At roughly Rs 1.5 lakh a piece, each SAR-21 would cost nearly six times the price of the indigenous 5.56 mm carbine the OFB planned to make. The board resolved to let the MOD import the weapons directly from the manufacturer, which is unlikely to happen now with the ban coming into effect.

In his foreword to the Defence Procurement Procedure (DPP) 2006, a manual which lays down the government's arms acquisition policy, Defence Minister A.K. Antony endorsed three precepts to govern the DPP—transparency, accountability and probity. None of these have been enforced. While Antony has been quick to act against the errant firms, he is yet to tackle the larger issue of reforms in the MOD. "The biggest problem in the defence ministry is the total lack of transparency. One bureaucrat doesn't know what the other is doing," says former Army chief General Ved Prakash Malik.

The OFB scandal is an indictment of the MOD's control over the defence public sector and its inability or unwillingness to usher reform. Five years ago, the government constituted a committee under former finance secretary Vijay Kelkar to improve defence acquisitions and production. Of the 36 recommendations, only 26 were accepted by the government. Key recommendations that were rejected included corporatisation of the OFB. This would ensure that the OFB's costs would be made public and the organisation could start to think of profitability.

Nearly five years after the report was submitted, it is yet to be tabled in Parliament. "It is a stark contradiction. India, which employs the largest number of people in the defence production sector, is the world's largest importer of conventional arms," says the CEO of a private firm. Introducing Raksha Udyog Ratnas (RURS) as recommended by the Kelkar Committee or offering private sector firms the same status as public sector undertakings could have reduced corruption. This is because RURS would have to sign an integrity pact far more stringent than the present one that firms have to sign before bidding for contracts. With the government unwilling to usher transparency or reform into the defence sector, the real incentives for bribery will continue. ■